

Fearnleys Tanker Market Wrap-up Sep 2025

Sep 30, 2025

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Revisiting the bull case

Summary and conclusion

Given the recent rate rally it is timely to revisit our bull case scenario for this year. Arguably, rates have lagged fundamentals, hence the recent month has been a proper catch-up.

However, some of the factors which have contributed to the recent spike are now reversing, which may mean some normalisation of rates in coming weeks and months although there may still be some upside risk to our base case rate forecast for the rest of the year:

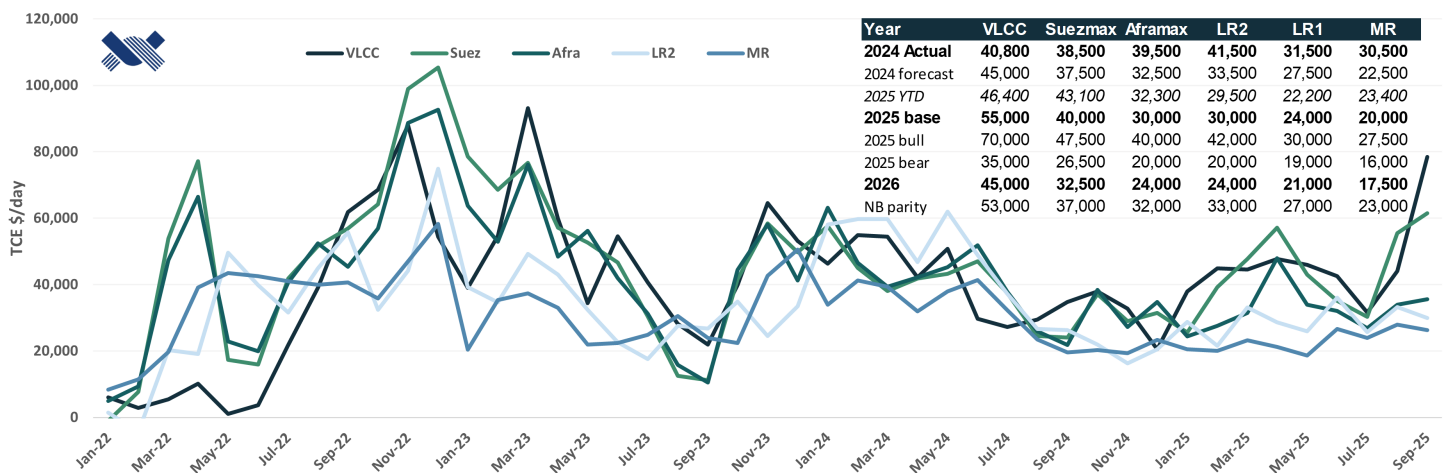
- More dry dock vessels redeliver
- Dubai and Murban prices have plunged so that the West-East arbitrage has closed
- Western refineries will soon come back from maintenance which may end the recent Atlantic crude oil supply push
- If the Brent forward curve flips into contango Western inventory builds could limit long-haul trade

There are also some risks to the upside from:

- Stronger oil demand than the IEA estimates
- Continued OPEC+ cut reversal - the tide lifts all boats
- Continued Ukrainian attacks on Russian oil infrastructure (and/or secondary sanctions) which might aid the West-East arbitrage.

Going into next year we see directionally lower rates due to rising fleet growth and slowing oil production growth. How much lower may depend on the continued developments of some of the above risks.

Rates catching up closer to our forecast



Source: Fearnleys, Baltic Exchange

Most of the bull case has played out, but rates not fully so until now

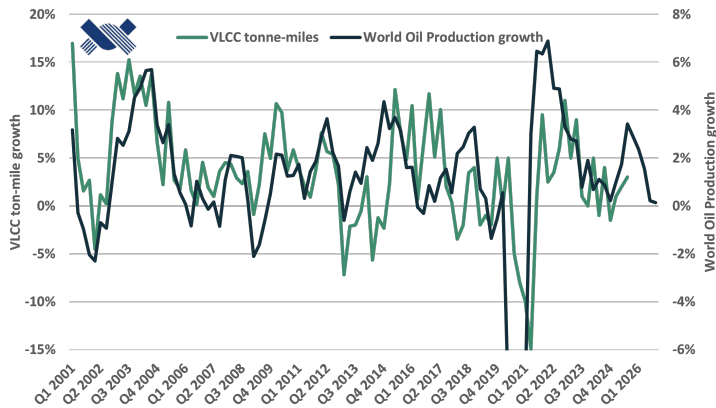
Going into this year we outlined a bear, base and bull case, where the bear case was quickly ruled out due to broad sanctions. Although tanker demand was strong during the first half, rates never really caught up as they perhaps should have, but sentiment has now thoroughly changed to reflect the tighter underlying picture. At the end of last year we wrote the following:

"Bull case: Non-OPEC+ producers may live up to strong growth expectations and a harder clamp-down on Iran by the Trump administration may give more volumes to the normal market, potentially boosted further through the OPEC+

reversing some cuts to offset any Iranian supply losses - especially if (Chinese) oil demand surpasses current estimates".

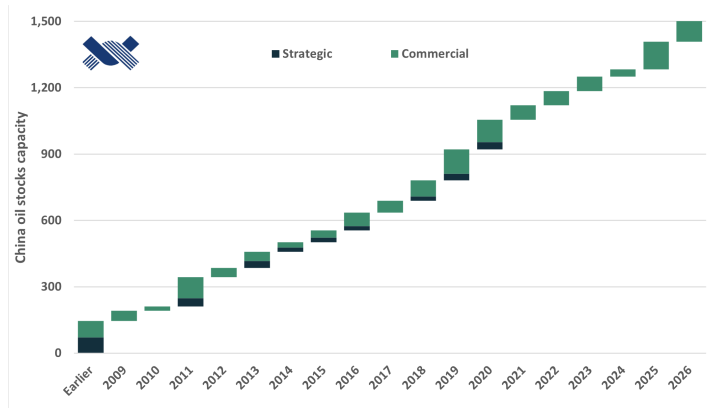
So, a lot of this has played out. Underlying Chinese oil demand has not been that strong, but this has been countered by inventory builds (we did also point to Chinese plans to build 125 mb of new storage capacity this and 100 mb next year - which tends to be filled rather quickly). Although the Trump administration has been more hawkish on Iran, this has not led to a change in flows, other than more shadow tankers added to the sanctions list. In sum, developments this year have been more bullish than rates have suggested - but then the recent rally has caught up to that, and then some.

Global oil supply growth vs. tanker demand



Source: EIA, Argus

China oil storage capacity

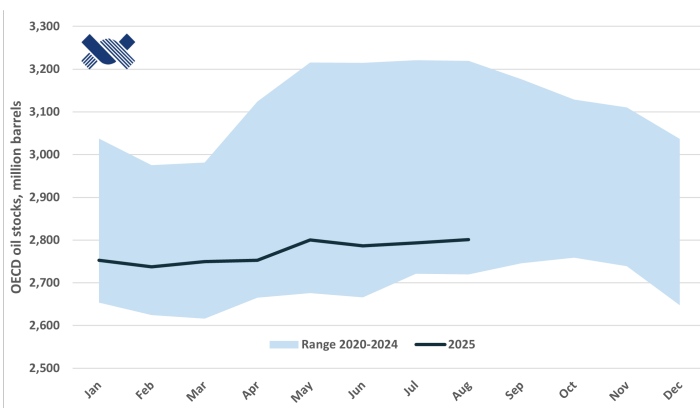


Much of the upside may already have been taken out

OECD inventories have built by nearly 50 mb over the first eight months of this year, while non-OECD has built by 170 mb, mainly in the East. This stockpiling, especially in China, has boosted oil and tanker demand, which could continue for some more time. Based on the Chinese oil storage capacity build-out, one can infer that this stockbuilding is about half way done, ie. could last into the start of next year.

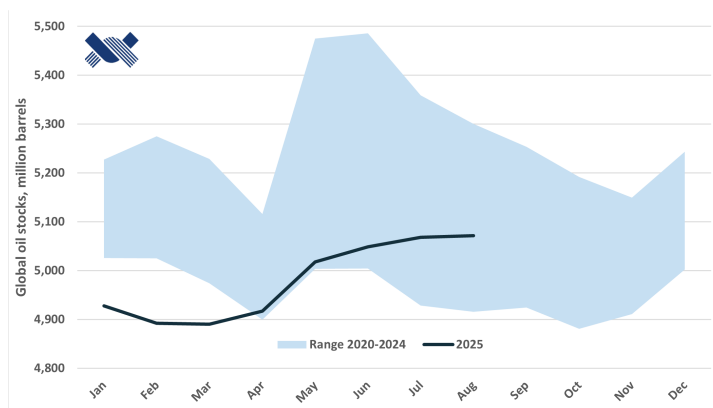
Going forward, however, more may be sourced from the MEG vs. the Atlantic basin, which means the recent extraordinary demand support could ease somewhat. Potential further OPEC+ cut unwind, which is likely as long as oil prices and structure holds like it has, could further contribute to keeping the West-East arb. shut.

OECD oil inventories



Source: IEA

Non-OECD oil inventories

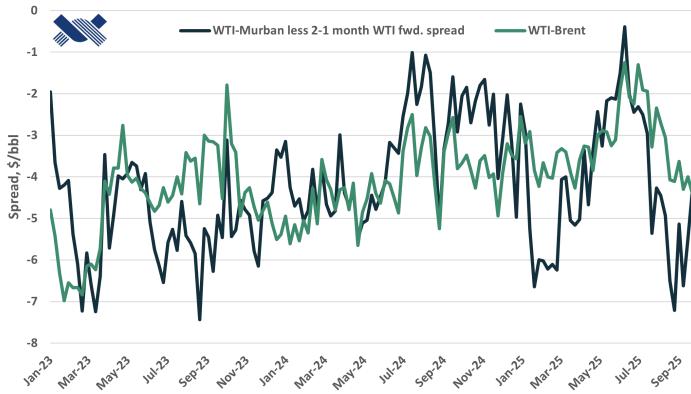


The West-East arb. has narrowed recently to the point where it is now closed. It was for a while supported by the very strong Dubai/Murban prices, which have now fallen. Given increasing output from Middle Eastern producers and less

ramp-up in the Atlantic going forward, this should all else equal not be supportive of a wide open arbitrage.

A risk to the downside is if or when the Brent forward curve flips into contango, which could lead to Western inventory builds. According to the EIA and Euroilstock U.S. and European inventories have drawn recently, which has also been supportive for West-East flows. If this reverses that extra demand leg for the biggest ships could turn. On the flipside, this means more Transatlantic flow for Suez- and Aframax.

USG-West arbitrage narrowing - WTI better priced into Europe



Source: Bloomberg

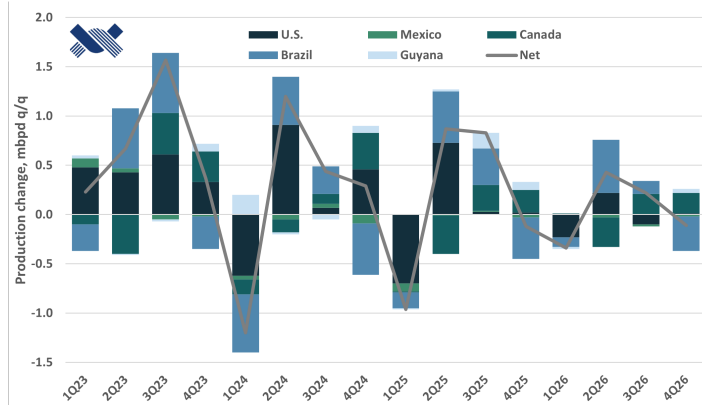
Watch the Brent forward curve



With most of the new FPSOs coming on in Brazil and Guyana having started the last few months, the biggest volume ramp-up from the Atlantic basin has already happened. Although there may be some more in it, the EIA forecasts a Q/Q decline of 120 kbpd in 4Q'25 and another 340 kbpd in Q1'26.

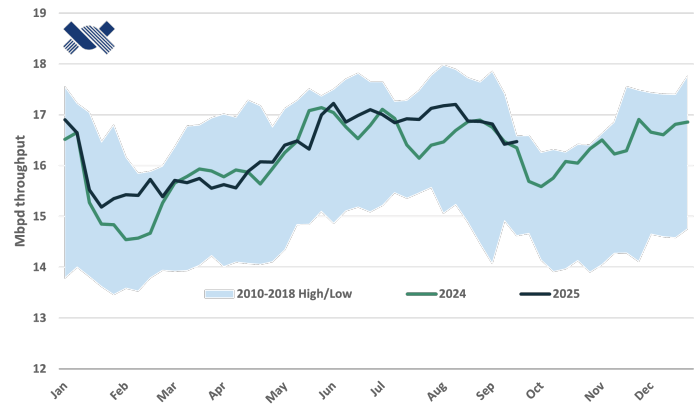
Near term there may also be some export decline due to increasing refinery runs in the Atlantic from the end of October until year-end - so just beyond the current Atlantic-East fixing window. A total Atlantic refinery run swing of more than 2 mbpd may reduce the West-East potential - something that in recent years has contributed to dampen Q4 seasonality.

Key Atlantic producers q/q supply growth



Source: EIA

U.S. refinery runs



What may lend upside support, however, is intensified Ukrainian attacks on Russian infrastructure and/or secondary sanctions if such are implemented. Trump's recent change in tune and green light for the Ukrainians to carry out long-range attacks into Russia could give greater implications for export capacity.

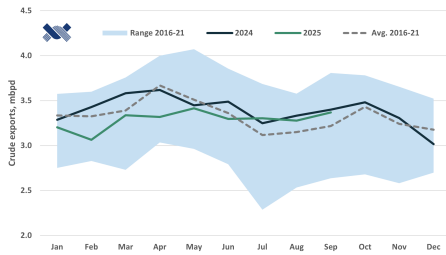
So far there has not been any meaningful change in Russian crude oil exports, but products exports are in the lower end of the range, and with domestic gasoline and diesel shortages there may be more export downside going forward.

There are also observations of increased crude oil storage at refineries, suggesting broader outages.

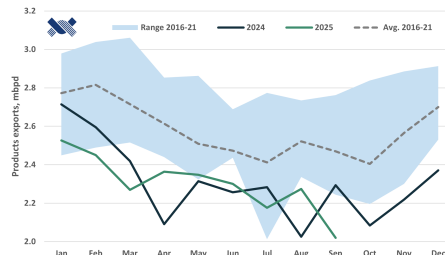
There has not been any great change in the fleet composition of Western crude oil exports either. YTD nearly half of the volume from the Baltic and Black Sea has been lifted by non-sanctioned tankers. While some 'usual suspects' have shied away from the trade, there has been sufficient other non-sanctioned tonnage to take the rest. This still means tonne-mile support for (compliant) Suez- and Aframaxes, and so far there is little reason for the elevated MEG crude pricing if fear of Russian crude outages is the supposed culprit.

If, however, crude oil installations are hit and exports curbed, this could lend support to the West/East arbitrage again, and therefore also VLCCs, but be a drag on Suez- and Aframax tonne-miles.

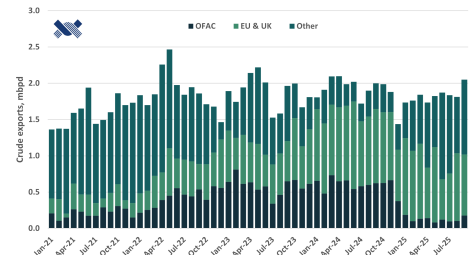
Russia seaborne crude oil exports



Russia seaborne products exports



Russia West crude oil exports by ship type

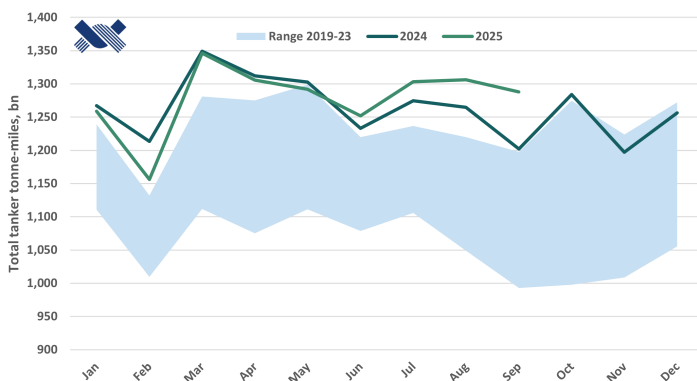


Source: Vortexa

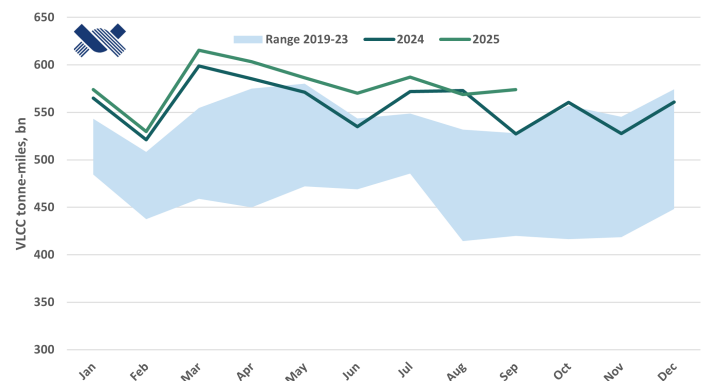
Run-rate tonne-miles for September to date are much higher than the same time last year, supported by increased production from the Atlantic basin and a smaller than normal decline in MEG exports due to production cut unwind (and this year there is no Libya outage). Still, tonne-mile demand remains below the peaks of March this year when there was more West-East movement.

It is likely that these tonne-mile figures lag a bit and that the full month data and October will be somewhat higher. Rising volumes should help too, although the recent West-East push is likely past the peak now which means flatter development into year-end.

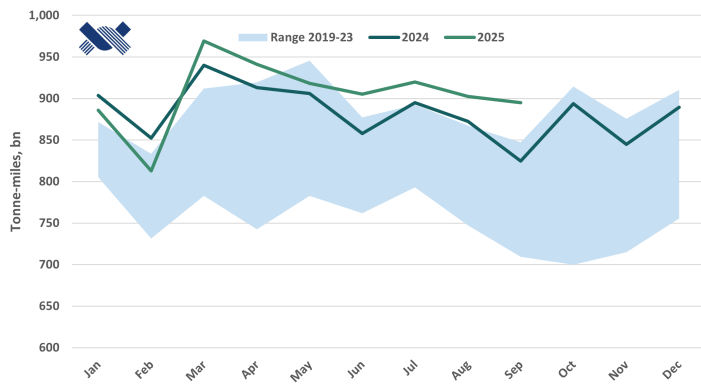
Total compliant tanker tonne-miles



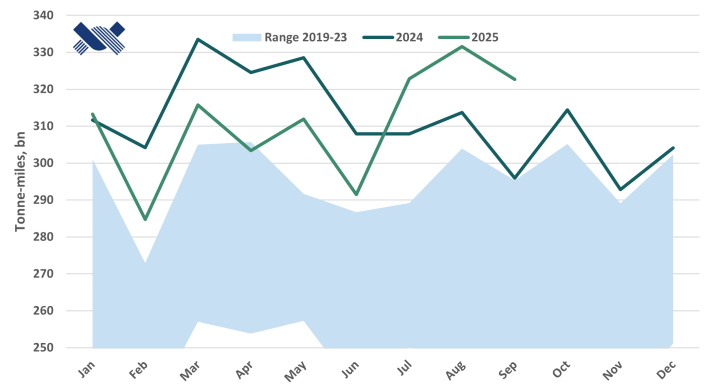
Compliant VLCC tonne-miles



Compliant crude tanker tonne-miles



Compliant product tanker tonne-miles



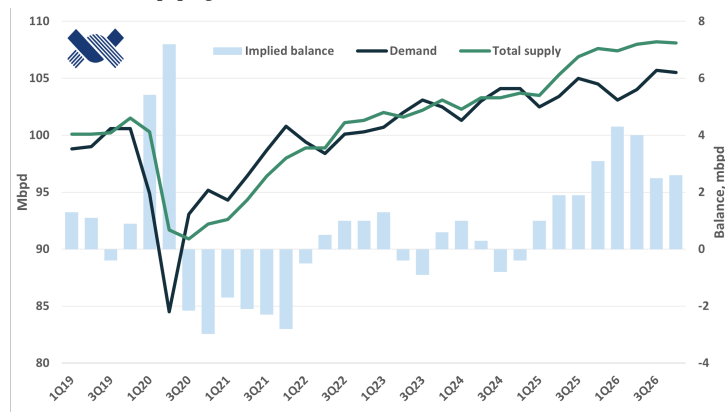
Source: Vortexa

Slower demand growth next year

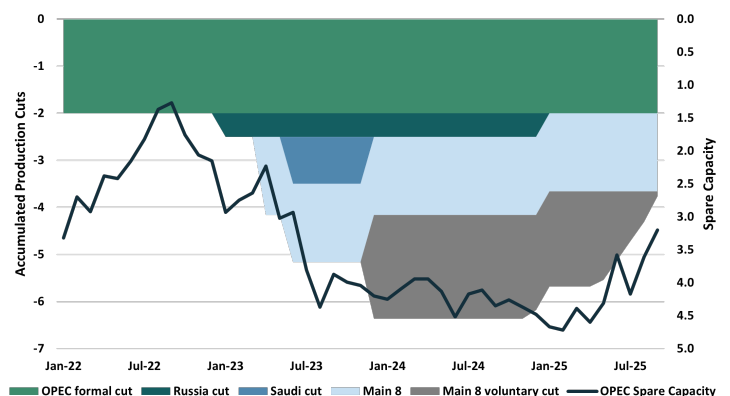
Next year global oil supply growth slows substantially to 'only' 0.5 mbpd per the IEA's estimates (4Q to 4Q) vs. this year's massive estimated 3.9 mbpd. Production growth might get a bit higher considering OPEC+ cut unwind, but even if the current 1.6 mbpd cut tranche is fully unwound the actual effect should be little more than 0.6-0.7 mbpd. In other words, 'maximum' 2.5% tanker volume growth if all these volumes are shipped by sea - and a likely lower tonne-mile effect as sailing distances are likely to be shorter on average.

That is, if the oil market can accommodate extra OPEC+ barrels. Energy agency balances still point to significant inventory builds through the remainder of this and next year (although demand is probably stronger than the IEA's estimates suggest). While it is not reflected in the forward curve, global observed inventories show meaningful builds YTD. With limited upside to refinery capacity (excluding China, India and the MEG) and the recent ramp-up in production, there should be bigger builds ahead. This in turn begs the question for how long the OPEC+ will keep unwinding unless there are disruptions elsewhere.

IEA oil supply/demand balance



OPEC cut tranches



Source: IEA, OPEC

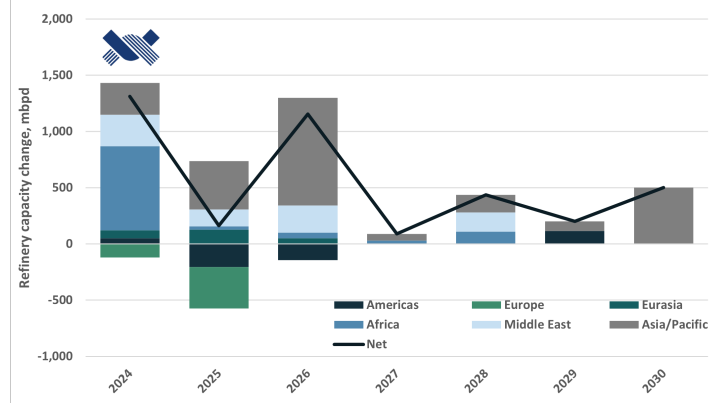
Next year global refinery runs are estimated by the IEA to increase by about 0.5 mbpd, down from 0.6 mbpd this year. Refinery capacity may increase by about 1.1 mbpd, which indicates the potential for some more crude oil production to be absorbed.

Out of that 1.1 mbpd about 250 kbpd is expected to come in each of China and the MEG. The caveat with these is that the MEG additions means less crude exports, and in China the expansion will likely come at the expense of less efficient

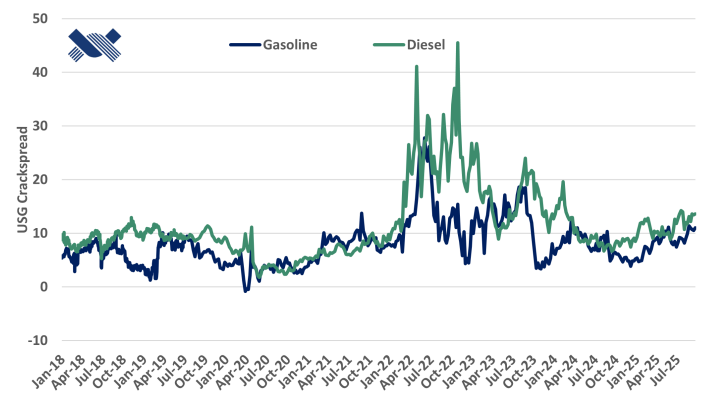
capacity - at least if export quotas are not materially lifted or underlying demand picks up. Most of the remaining added capacity is expected to come in India. Unless all of these source crude oil from the Atlantic basin, that means shorter than average crude-hauls, while it may also mean some longer-haul products flows.

Current refinery margins are stronger in the West than the East, partly supported by maintenance and partly by Ukrainian attacks on Russian refineries. That gives a demand pull, especially for gasoil, which in turn should be a positive for product tanker demand and is part of the reason why product tonne-miles are at seasonal all-time-highs.

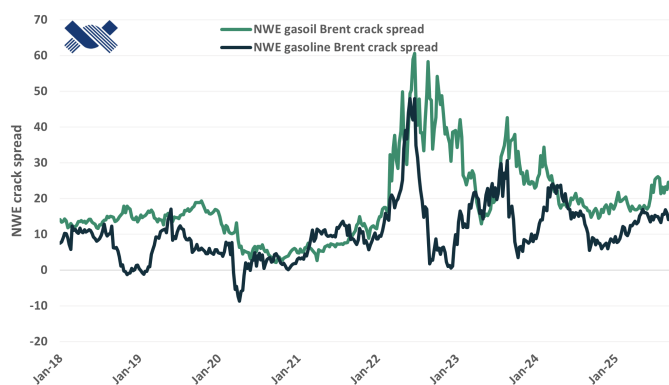
Refinery capacity additions



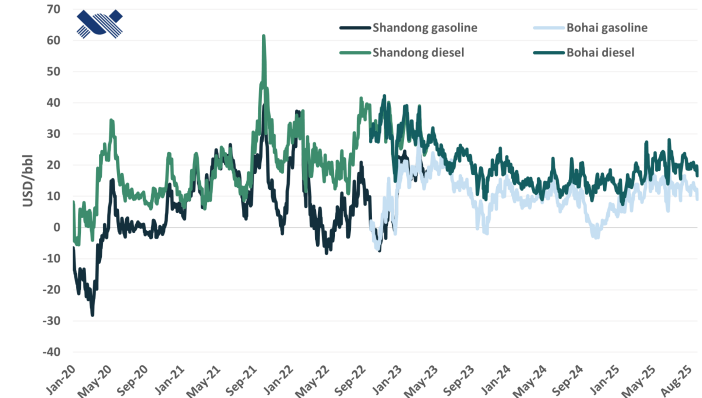
U.S. Gulf Coast crack spreads



NorthWest Europe crack spreads



China Bohai Bay crack spreads



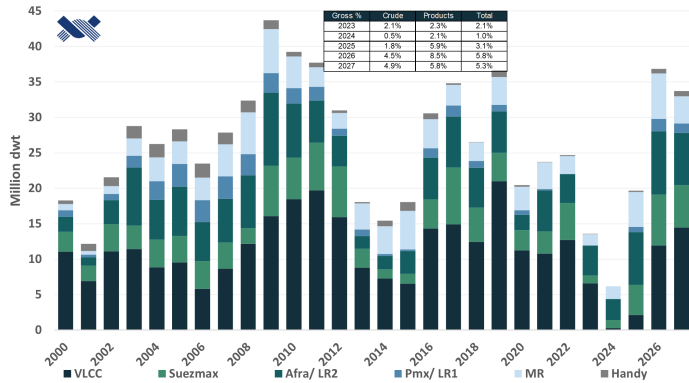
Source: IEA, EIA, Bloomberg, Argus

Fleet growth on the rise

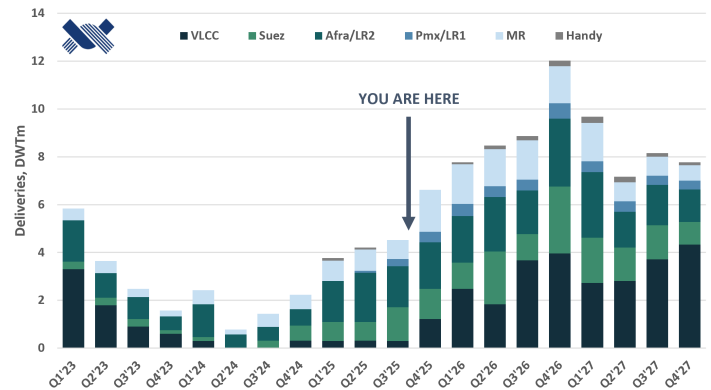
Deliveries are about to pick up, first and foremost for product tankers, but increasingly also for crude tankers. From a low of 1% gross deliveries last year, this year is set to come to 3.1% and next year 5.8%. In dwt terms only three years historically have seen higher deliveries than next year's schedule.

It starts the coming quarter, but this is likely to be more than offset by rising volumes. The next two years could have been 'saved' by the massive phase-out potential, but much of what are phase-out candidates are already out of the compliant market.

Annual deliveries



Quarterly deliveries

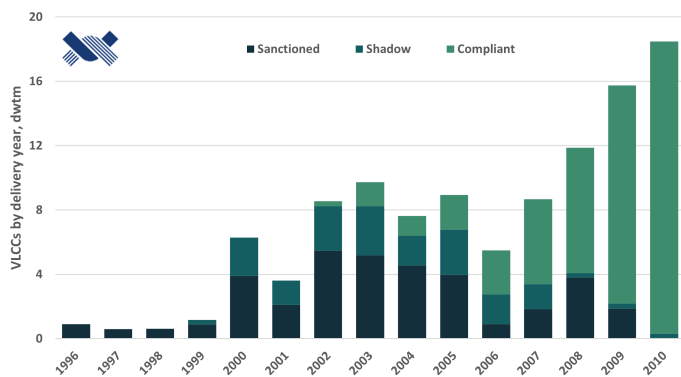


Source: Fearnleys

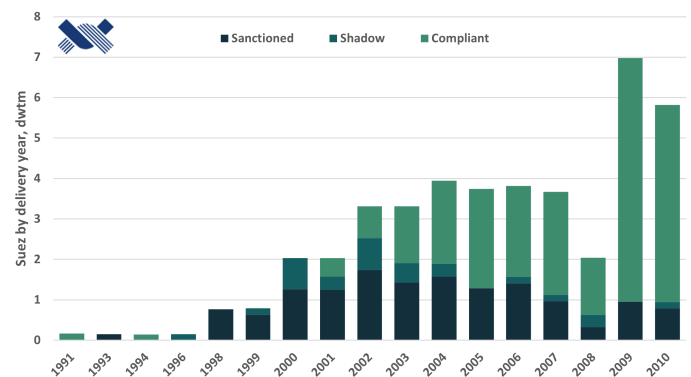
Below is an overview of the oldest part of the various fleets: For instance, all VLCCs built 2000 and earlier are either sanctioned or operate in the shadow market. 87% of VLCCs built 2001-2005 are either sanctioned or shadow, while 'only' 21% of VLCCs built 2006-2010 are. In other words, we may not see any phase-out near-term, as almost all vessels which would otherwise be phase-out candidates are already phased out of the compliant market. For 2027-30, however, there could be more meaningful phase-out, especially if rates come off..

For Suezmaxes, 93% of the vessels built 2000 or earlier are sanctioned/shadow, as are 56% of 2001-05 and 23% of 2006-10. For Aframax/LR2 66% of the 2000 or earlier built vessels are sanctioned/shadow, as are 68% of 2001-05 and 44% of 2006-10. For MRs, 32% of 2000 or earlier are sanctioned/shadow, as are 32% of 2001-05 and 7% of 2006-10.

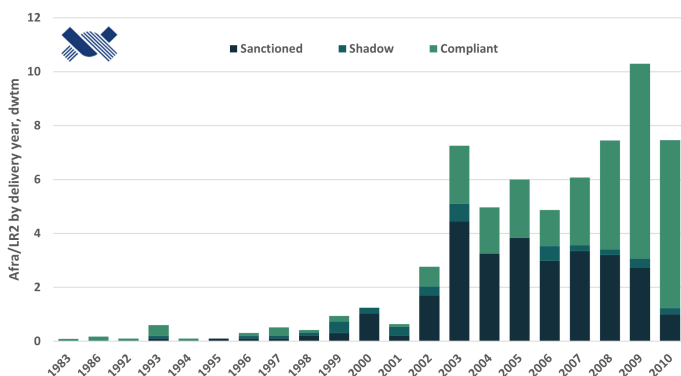
Older VLCC fleet composition



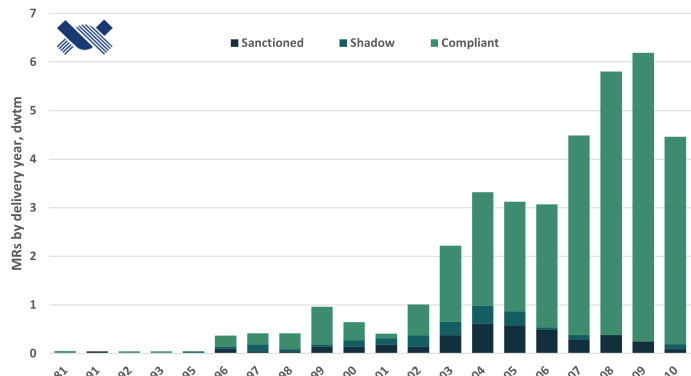
Older Suezmax fleet composition



Older Aframax/LR2 fleet composition



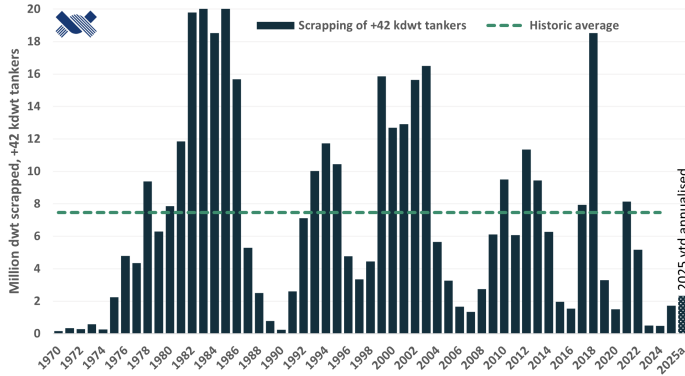
Older MR fleet composition



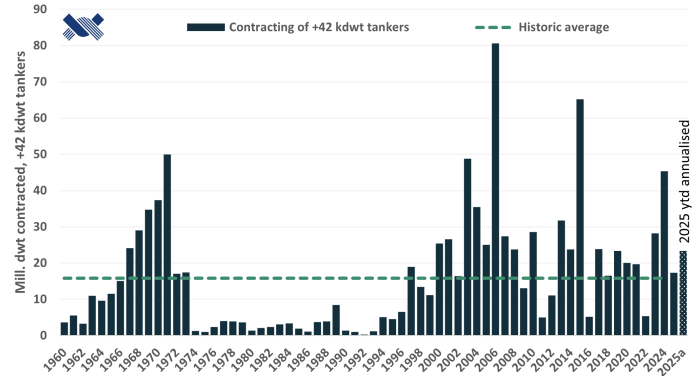
Source: Fearnleys

Compared to the last two years phase-out has picked up significantly and ordering slowed quite a bit YTD. However, on a run-rate basis, phase-out is still only on pace to come to 0.4% of the fleet this year, a third of the the historical average in dwt terms, while ordering may come to 3.7%, 50% more than the historical average in dwt terms.

Phase-out YTD picked up slightly



Ordering YTD slower, but still elevated



Source: Fearnleys



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